IT Hardware and Communications Equipment

Server Model Update: Enterprise Surprises Up, AI Momentum Remains

We update our detailed Server model following recent results and industry conversations. Enterprise strength surprised materially to the upside across server players with AI momentum still strong this earnings cycle. We believe ASP is driving a majority of the upside, with unit growth also cited.

Following recent results and industry conversations, we adjust our Cloud and Enterprise server estimates. Recall, this year we changed our model methodology where we now break out Cloud (inclusive of AI) and Enterprise servers vs previously where we used AI vs Traditional.

Our Cloud estimates move higher, in line with major hyperscalers' lifted capex expectations, and we now estimate Cloud growing at a 5-year CAGR of ~62% (2022-27E) up from our prior estimate of ~59%. We view our revenue estimates moving higher as impressive, especially given how large our revenue estimates now are.

Enterprise surprised materially to the upside this past Q across server players. Although we believe the majority of the upward movement was pull-in and ASP driven, companies also cited how agentic AI and inference are driving a new opp for traditional servers. However, we do not expect traditional server growth to continue into next year, and estimate LSD moving forward. Because of this year's expected outsized traditional server growth (we now estimate 33% growth assuming some unit growth coupled with higher ASPs), our Enterprise 5-year CAGR through 2027 is now MSD (~6%) vs our prior estimate of ~flat.

Positive capex commentary continues from hyperscalers with >$700Bn in capex now expected in CY26, up from ~$423Bn in CY25. Recent results from DELL, HPE, and SMCI are positive proof points to this higher capex directly translating into AI-related network infrastructure investments. Despite memory-related headwinds, we now expect Enterprise to grow >30% this year, assuming significant ASP increases and some unit volume. We are of the view that for Enterprise players, where purchases are on bits not necessarily units, pricing actions will fill the gap with potentially lower unit volumes. However, we do expect ~1% growth in CY27, given our estimates this year on top of two strong years of growth in 2024-25 are hard to sustain, especially given continued price increases may erode demand more than current expectations.

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NEUTRAL

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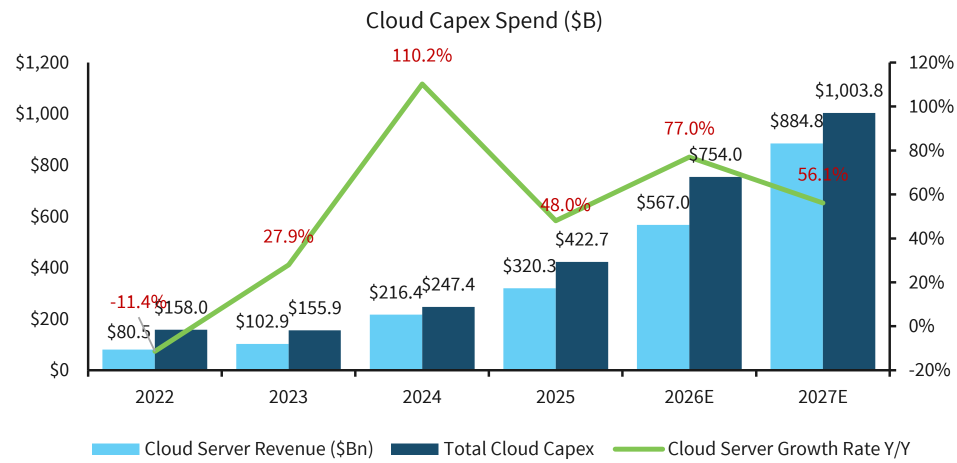
Server Model Wrap Up

- Our CY26Cloud server revenue forecasts move lower and CY27 move higher, accounting for the above-mentioned strength in hyperscaler capex and focus on technical infrastructure investments. However, we do acknowledge some lack of visibility on AI server builds could make numbers lumpy (like we've previously seen with SMCI).
  - Our new Cloud server revenue estimates are $567Bn/$885Bn in CY26/27 vs our prior estimates of $585Bn/$817Bn, respectively. We model growth of 77% and 56% in 2026/2027 vs our prior estimates of 84% and 40%. xPU server estimates and updated segmentation from HPE (we adjusted our 2025 metrics), primarily accounted for the drop in 2026 growth vs prior estimates (not a fundamental change). DELL (and to lesser extent SMCI) drove the tick up in our estimates on the OEM front, with another increase in implied ODM growth.
  - Despite the move higher in CY27 estimates, we expect there is potential upside bias to our estimates, given the strong capex announcements from the large hypers, the rising interest in enterprise/inferencing opportunities, and if large AI training deals get appropriate funding. However, there is also a scenario in which we could see a push-out in revenues, given some of the larger sovereign deals are scheduled for the Middle East, although we have yet to hear of any deployment delays.
- We now estimate Enterprise server revenues up ~33% in CY26 (vs prior estimate of ~2%), given the material outperformance and commentary from OEM players. DELL now expects traditional servers to grow >60% for the FY, and HPE cited traditional server orders increased DDD in the Q. DELL also mentioned that despite ASP increases, the company saw traditional server unit growth in the Q. We believe OEM players are enjoying multiple ASP increases coupled with customer buying behavior holding up better than expected. We believe units may be up MSD-HSD, although ASPs are up most likely closer to 40-50%. We expect further ASP increases and the cyclicality of the enterprise business to normalize growth next year down to ~1% growth (with downside bias to estimates, if unit volumes and demand erode further than we've currently estimated).
- Overall, we model total server revenue growth of 70%/49% in CY26/27, from 71%/36% prior estimates, as we expect continued AI strength momentum coupled with greater than expected Enterprise strength (in terms of revenues).

Server market performance has been bifurcated, with Cloud growth materially diverged from Enterprise over the past few years, and we do not expect this phenomenon to change. Hyperscaler capex is one of the main data points to watch for AI servers.

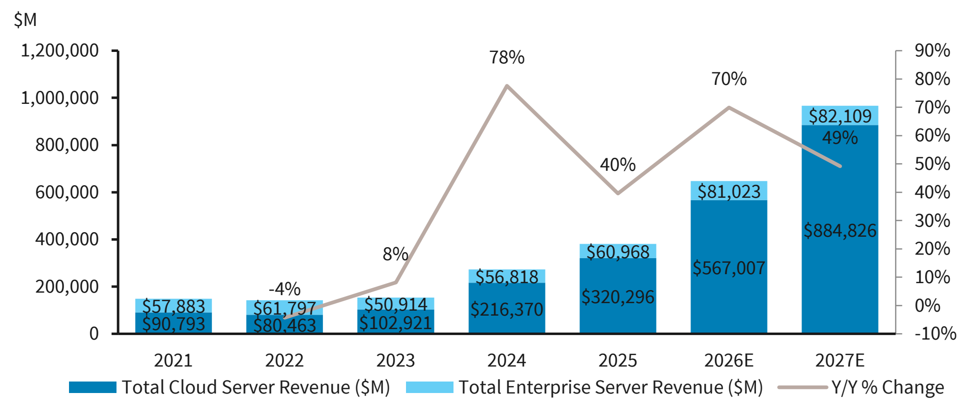
FIGURE 1. Cloud Server Revs vs Top Hyperscalers' Capex



Source: 650 Group, Company Documents, Bloomberg, Barclays Research Estimates

We expect growth from Cloud and Enterprise servers moving through CY26-27. We find the Cloud growth impressive, given the large base it's growing from. Additionally, our Enterprise server growth this year accounts for the ASP increases along with continued volume growth (despite memory headwinds) OEMs cited this past earnings cycle.

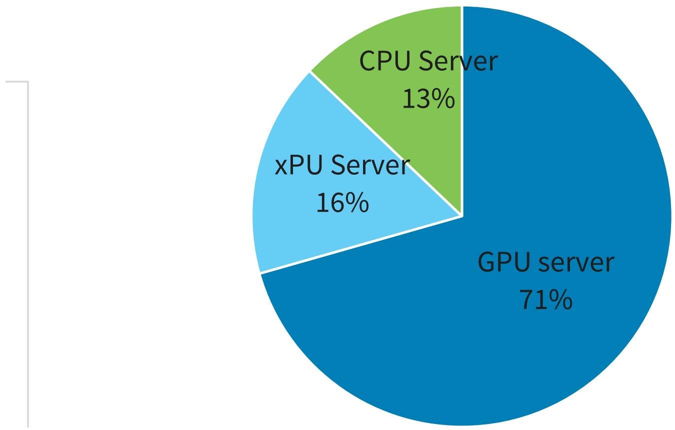
FIGURE 2. Total Server Revenue Growth



Source: 650 Group, Company Documents, Bloomberg, Barclays Research Estimates

AI has been a big positive for the server industry, with a focus on companies' growing AI server share and backlog. The Cloud server market has grown to multiples the size of the Enterprise server market, on a revenue basis. White box (inclusive of NVDA) continues to take market share from branded players, and we expect this to continue. A breakdown below of NVDA-based server revenues compared to xPU and CPU server share for 2026E.

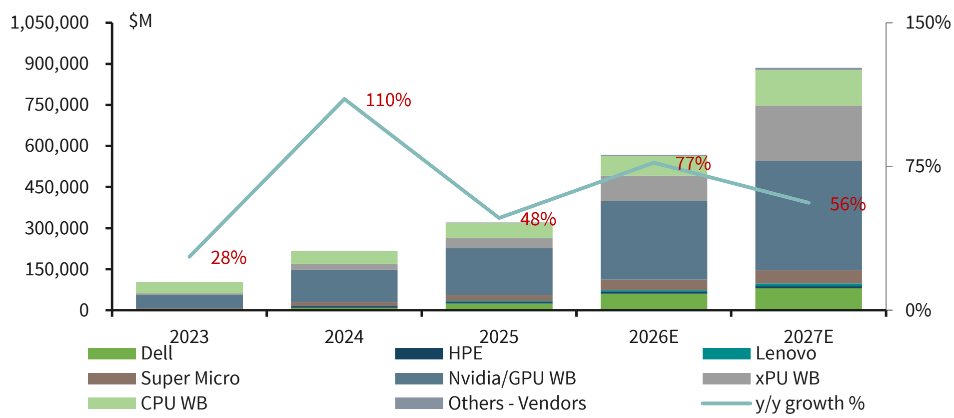
FIGURE 3. **% Share of NVDA-based server share, xPU and CPU server share for 2026E**



Source: 650 Group, Company Documents, Bloomberg, Barclays Research Estimates

However, once Enterprise/Inferencing and Sovereign AI ramp more meaningfully, we expect some share distribution towards branded players.

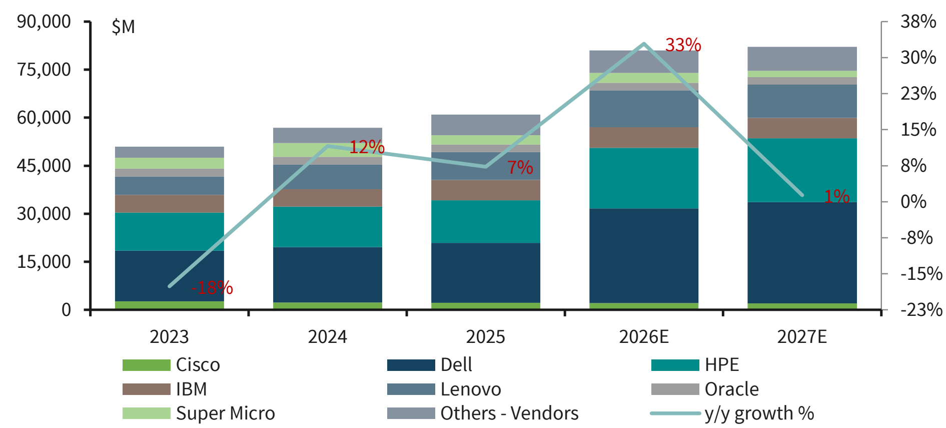
FIGURE 4. **Cloud Server Market by Vendor**



Source: 650 Group, Company Documents, Bloomberg, Barclays Research Estimates

We entered the year under the assumption ASP increases would offset expected unit volume declines. However, ASP increases coupled with unit volumes holding in better than expected caused material upside to our estimates. Although we believe the majority of outperformance is most likely ASP driven (with pull-in benefiting YTD results), the benefit of unit volumes has propelled estimates much higher than expected. We do expect demand erosion to eventually catch up with numbers, especially if companies continue to raise prices, which is why we assume ~1% growth into CY27 (with a downward bias). The market share picture within Enterprise servers has remained largely steady over the past few years with DELL and HPE ~30% and 20s% share, respectively.

FIGURE 5. Enterprise Server Market by Vendor



Source: 650 Group, Company Documents, Bloomberg, Barclays Research Estimates

Vendor Takeaways

- **DELL** AI server momentum continued last Q with AI server revenue ~37% of total revenue in the Q and up 80% Q/Q. AI backlog increased to $51.3Bn, up 19% Q/Q, and management guided to ~$60Bn in FY AI server revenue compared to prior view of $50B. AI customer base is now ~5,000 customers (up >50% in last six months). Traditional server results were also impressive in the Q, up over 90% y/y with management now expecting traditional servers to grow just over 60% for the FY. We expect pricing and pull-ins are accounting for some of the traditional server demand, although management also highlighted how agentic AI and inference are driving a new opp for traditional servers, and we know ASPs are up a lot on higher commodity costs and richer configurations.

- **HPE** saw orders in traditional server up triple digits last Q. However, ASP is playing a significant role right now. The company is seeing customers start new projects even given where ASPs are, with the company seeing agentic AI and inferencing use cases. Customers are early on in their agentic journey but focused on it and what they need to do to invest. $1.8bn in AI orders in the quarter and $16.4bn cumulative. We continue to view HPE as being more selective with AI deals, focusing on GM and working capital. Given the acquisition of JNPR, we view HPE now more as a networking company vs server, especially given networking now is expected to comprise >50% of total company operating profit for the year.

- **SMCI** results missed on the top line last Q, due to customer readiness, with revenue of $10.2Bn vs guidance of "at least $12.3Bn." Management guided to FQ4 revenue in the range of $11-$12.5Bn (within range of our prior estimate) and FY26 revenue in the range of $38.9-$40.4Bn (slightly below prior guidance of "at least $40Bn"). Enterprise, which was ~28% of revenue this Q up from ~15% the prior Q, also contributed to margin outperformance this Q. Rev rec visibility remains limited, and we expect this to remain into the following Qs. Some customers have slowed their plans with the company since the indictment and ongoing investigation, although we suspect limited business was lost, given the record backlog.

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Materially Mentioned Stocks (Ticker, Date, Price)
Cisco Systems, Inc. (CSCO, 08-Jun-2026, USD 124.15), Equal Weight/Neutral, CD/CE/D/J/K/L/M

Dell Technologies Inc. (DELL, 08-Jun-2026, USD 400.77), Overweight/Neutral, A/D/E/J/K/L/M/N

Hewlett Packard Enterprise Company (HPE, 08-Jun-2026, USD 49.87), Overweight/Neutral, A/CD/CE/D/E/FA/J/K/L/M

Super Micro (SMCI, 08-Jun-2026, USD 43.99), Equal Weight/Neutral, D/FA/J/L

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Overweight - The stock is expected to outperform the unweighted expected total return of the industry coverage universe over a 12-month investment horizon.

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Corning Incorporated (GLW)	Corsair Gaming, Inc. (CRSR)	Dell Technologies Inc. (DELL)
Everpure, Inc. (P)	F5, Inc. (FFIV)	Fabrinet (FN)
Flex Ltd (FLEX)	Garmin (GRMN)	Harmonic, Inc. (HLIT)
Hewlett Packard Enterprise Company (HPE)	HP Inc. (HPQ)	Jabil (JBL)
Keysight Technologies, Inc. (KEYS)	Logitech (LOGI)	Motorola Solutions, Inc. (MSI)
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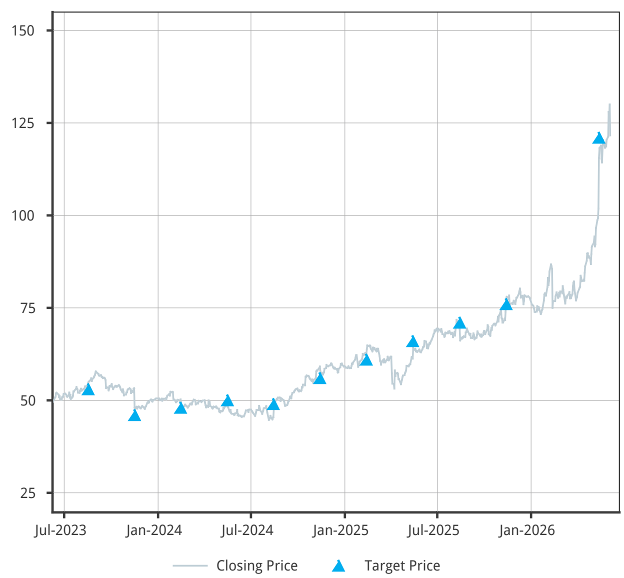
Stock Rating: **EQUAL WEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 124.15** (08-Jun-2026)

Rating and Price Target Chart - USD (as of 08-Jun-2026)

Currency=USD



Source: IDC, Barclays Research

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Publication Date	Closing Price*	Rating	Adjusted Price Target
14-May-2026	101.87		121.00
13-Nov-2025	73.96		76.00
14-Aug-2025	70.40		71.00
14-May-2025	61.29		66.00
12-Feb-2025	62.43		61.00
13-Nov-2024	59.18		56.00
14-Aug-2024	45.44		49.00
16-May-2024	49.67		50.00
14-Feb-2024	50.28		48.00
16-Nov-2023	53.28		46.00
17-Aug-2023	52.96		53.00

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Source: Bloomberg, Barclays Research

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Valuation Methodology: Our PT of $121 is based on a 25x P/E multiple on our CY27e EPS estimate of $4.85.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: 1) Cloud. Cisco's shares in key hardware segments are much higher on-prem then on the cloud, so the transition may negatively impact revenues. 2) Software transition. Management is investing to keep the move to software rolling. However, many in the industry are hesitant to take as-a-service offerings for typical hardware purchases. 3) Macro. Future macroeconomic softness could pressure the IT spending environment, and could continue to depress sales growth if economic and/or political uncertainty persist. Upside risks include future share gains in core verticals, better traction in software and cloud, and macro holding up better than expected.

Dell Technologies Inc. (DELL / DELL)

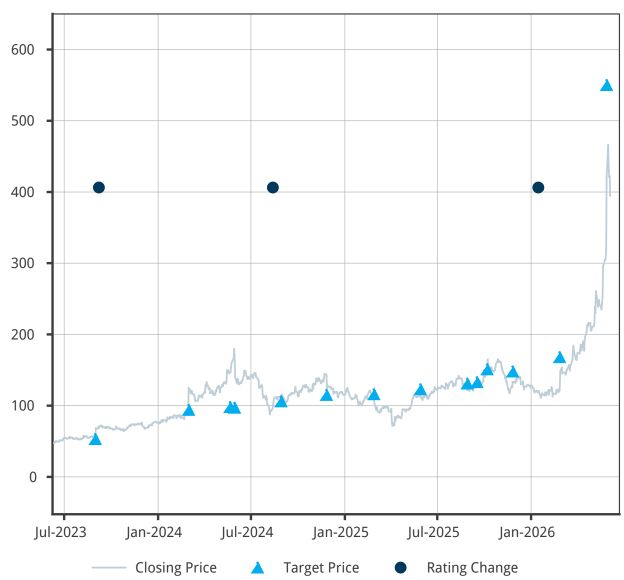
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 400.77** (08-Jun-2026)

Rating and Price Target Chart - USD (as of 08-Jun-2026)

Currency=USD



Source: IDC, Barclays Research

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Publication Date	Closing Price*	Rating	Adjusted Price Target
29-May-2026	317.05		550.00
26-Feb-2026	121.45		168.00
15-Jan-2026	118.69	Overweight	
26-Nov-2025	125.92		148.00
07-Oct-2025	150.87		151.00
17-Sep-2025	127.68		133.00
29-Aug-2025	134.05		131.00
29-May-2025	113.63		123.00
27-Feb-2025	107.83		116.00
26-Nov-2024	141.74		115.00
29-Aug-2024	110.74		106.00
13-Aug-2024	92.55	Equal Weight	
30-May-2024	169.92		97.00
21-May-2024	145.45		98.00
01-Mar-2024	94.66		94.00
07-Sep-2023	68.10	Underweight	
31-Aug-2023	56.24		53.00

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Valuation Methodology: Our price target of $550 reflects 25x our FY28 EPS estimate of $22.01.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Downside Risks: Slowdown in customer AI investments could lead to AI server revenue deceleration, increased competition in AI space, PC rebound could protract, slowdown in legacy businesses ex-AI, rising commodity costs.

Hewlett Packard Enterprise Company (HPE / HPE)

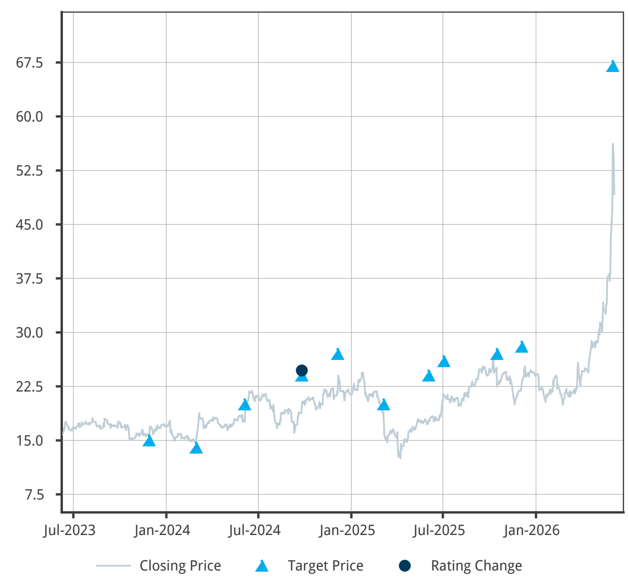
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 49.87** (08-Jun-2026)

Rating and Price Target Chart - USD (as of 08-Jun-2026)

Currency=USD



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
02-Jun-2026	47.00		67.00
04-Dec-2025	22.90		28.00
16-Oct-2025	25.04		27.00
03-Jul-2025	21.25		26.00
03-Jun-2025	17.69		24.00
06-Mar-2025	17.96		20.00
05-Dec-2024	21.65		27.00
25-Sep-2024	18.88	Overweight	24.00
04-Jun-2024	17.60		20.00
29-Feb-2024	15.23		14.00
28-Nov-2023	15.52		15.00

On 08-Jun-2023, prior to any intra-day change that may have been published, the rating for this security was Equal Weight, and the adjusted price target was 16.00.

Source: Bloomberg, Barclays Research

*This is the closing price referenced in the publication, which may not be the last available closing price at the time of publication.

Historical stock prices and price targets may have been adjusted for stock splits and dividends.

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Valuation Methodology: Our price target of $67 assumes the stock trades at a P/E multiple of 15x our FY28 EPS estimate of $4.44. We see balanced risk/reward in the current valuation relative to expectations.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: 1) Cloud Competition. In addition to white box supplying cloud vendors, each segment has become more competitive, with Dell rebounding in storage and competing in server. 2) Macro. HPE and other traditional hardware vendors are susceptible to macro impacts. 3) Longer enterprise recovery could delay product refresh and AI story.

Super Micro (SMCI / SMCI)

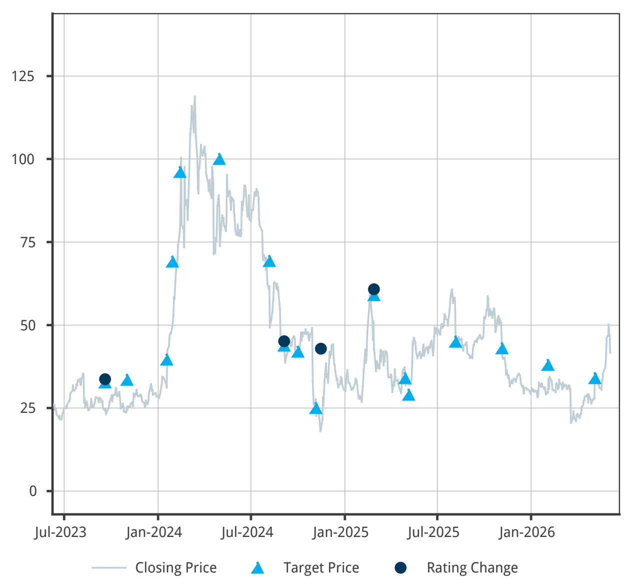
Stock Rating: **EQUAL WEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 43.99** (08-Jun-2026)

Rating and Price Target Chart - USD (as of 08-Jun-2026)

Currency=USD



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
06-May-2026	27.83		34.00
03-Feb-2026	29.67		38.00
05-Nov-2025	47.40		43.00
06-Aug-2025	57.26		45.00
06-May-2025	32.94		29.00
29-Apr-2025	36.00		34.00
27-Feb-2025	51.11	Equal Weight	59.00
15-Nov-2024	18.01	Rating Suspended	
05-Nov-2024	27.70		25.00
01-Oct-2024	416.40		42.00
04-Sep-2024	44.18	Equal Weight	43.80
06-Aug-2024	60.88		69.30
30-Apr-2024	85.88		100.00
13-Feb-2024	79.15		96.10
29-Jan-2024	49.57		69.10
18-Jan-2024	31.14		39.60
01-Nov-2023	25.23		33.50
19-Sep-2023	24.77	Overweight	32.70

Source: Bloomberg, Barclays Research

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L: Super Micro is, or during the past 12 months has been, an investment banking client of Barclays Bank PLC and/or an affiliate.

Valuation Methodology: Our PT of $34 is based on $4.24 CY27E EPS with 8x multiple, to account for uncertain AI server builds and GM risk. Risk/reward is balanced, in our view.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Upside risks: 1) strong AI server revenue growth led by demand from CSP and enterprises; 2) unique global footprint; 3) strong AI partnerships; 4) AI technology differentiation. Downside risks: 1) weaker macro environment; 2) lower-than-expected AI demand; 3) persistent supply constraints; 4) increased competition; 5) share losses; 6) double ordering from customers.

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